

Learning to say “I Don’t Know”

I NEVER UNDERSTOOD WHAT was going on at Theranos, the Silicon Valley tech company that was going to do a full set of blood tests without having to draw blood from a vein. I never had a clue.

At the time, very few were willing to admit this. An expensive and recurring problem in the technology and investment communities is the simple inability to say those three words, “I don’t know.”

Folks who *claimed* to understand the company and its founder—putting lots of capital at risk and giving the start-up a multibillion-dollar valuation—didn’t have a clue either. The venture capitalists who funded this unicorn were unable to admit this. Their bravado created a costly blind spot.

The backstory: A biotech start-up whose young founder was afraid of needles drops out of Stanford at age 19 to commercialize a blood test that relies on a finger prick instead of the dreaded needle to draw blood from a vein. Accolades follow, and soon after, Elizabeth Holmes becomes the youngest person ever to win the Horatio Alger Award.¹⁰⁴ Despite her lack of medical or scientific training, she is appointed to the board of fellows at Harvard Medical School(!). *Time* magazine names her one of the world’s 100 most influential people. *INC* magazine makes her its October 2015 cover,¹⁰⁵ calling her “The Next Steve Jobs.” Theranos is valued, however briefly, at \$9 billion, and she becomes the youngest self-made female billionaire in the world.

Given all we know now, how was it possible that so few people and organizations behind these awards, fellowships, and venture capital funding did the due diligence to check out the story? Many were relying on *the next guy’s work* when evaluating the start-up and its founder. But how did *everyone* else rely on others’ validation?

It’s worse: There was one group of investors who passed on Theranos—the